Q1 Job Vacancies: modest increase

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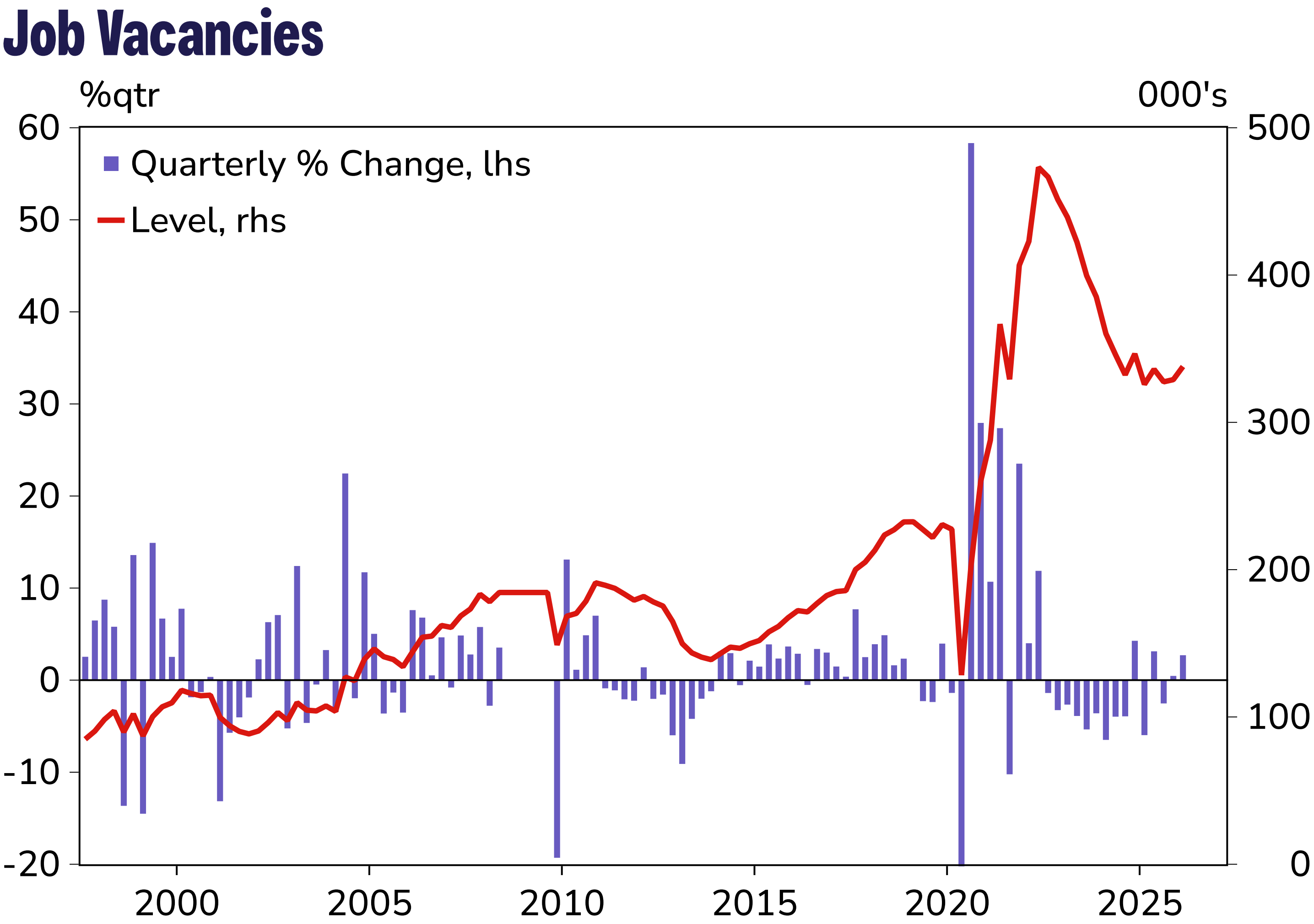
The level of job vacancies rose between November and February, up 8.9k (2.7%) to 338k, remaining at levels comparable to the past year.

The number of job vacancies increased by 8.9k (2.7%) between November and February, slightly below our expectation. Of note, however, the Q4 2025 outcome was revised higher to 329k (327k previously). Today's result was broadly consistent with the recent strengthening evident in monthly partials from other job vacancy and advertisement data. While the broad trends across these sources remain aligned, quarterly outcomes can differ given the varied nature and coverage of the underlying data.

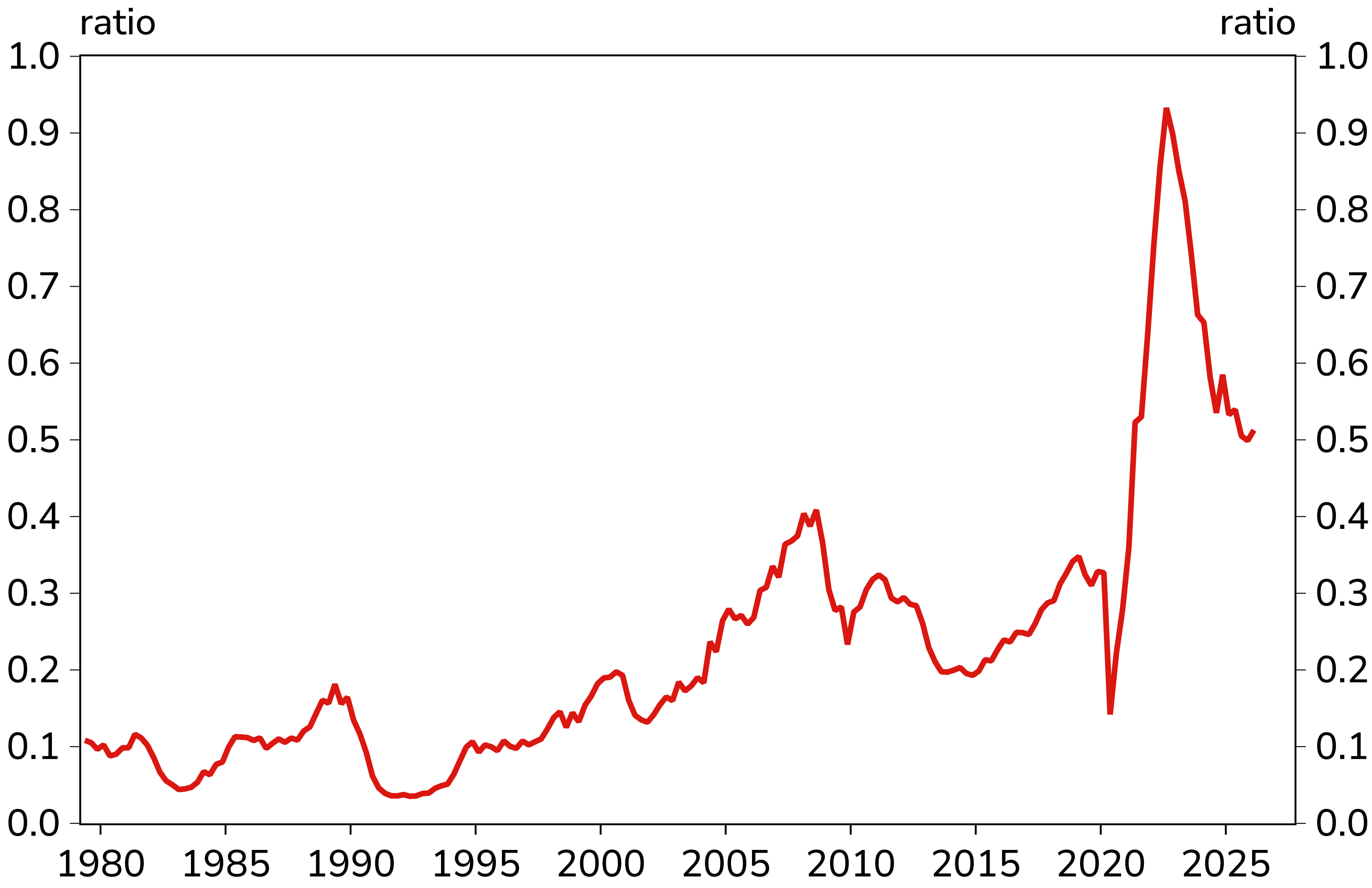
Over 2022 to 2024, the stock of job vacancies were falling at a rapid pace from its peak as labour supply came back online after the pandemic. Over 2025, job vacancies were broadly steady: 326k in Q1, lifting to 336k in Q2, before returning to 327k in Q3 and recording modest growth to 329k in Q4. Today's outcome is the strongest since Q4 2024, though still well within the recent range, and leaves vacancies around 40% above pre-pandemic- levels.



Source: ABS, Macrobond, Westpac Economics

In response to the unexpected moderation in unemployment over the December-January months, the vacancy-to-unemployment ratio - a key metric that provides a better perspective on the degree of 'slack' in the labour market - has edged higher. The ratio rose to 0.51 in February 2026, from 0.50 in November 2025. Importantly, it remains below its level in the same period last year (0.53), reinforcing the view that the labour market continues to gradually soften. This is still higher than the 0.20-0.35 range that prevailed prior to the pandemic, although this was a period characterised by a greater degree of labour market slack and below-target inflation.

Vacancy-to-Unemployment Ratio

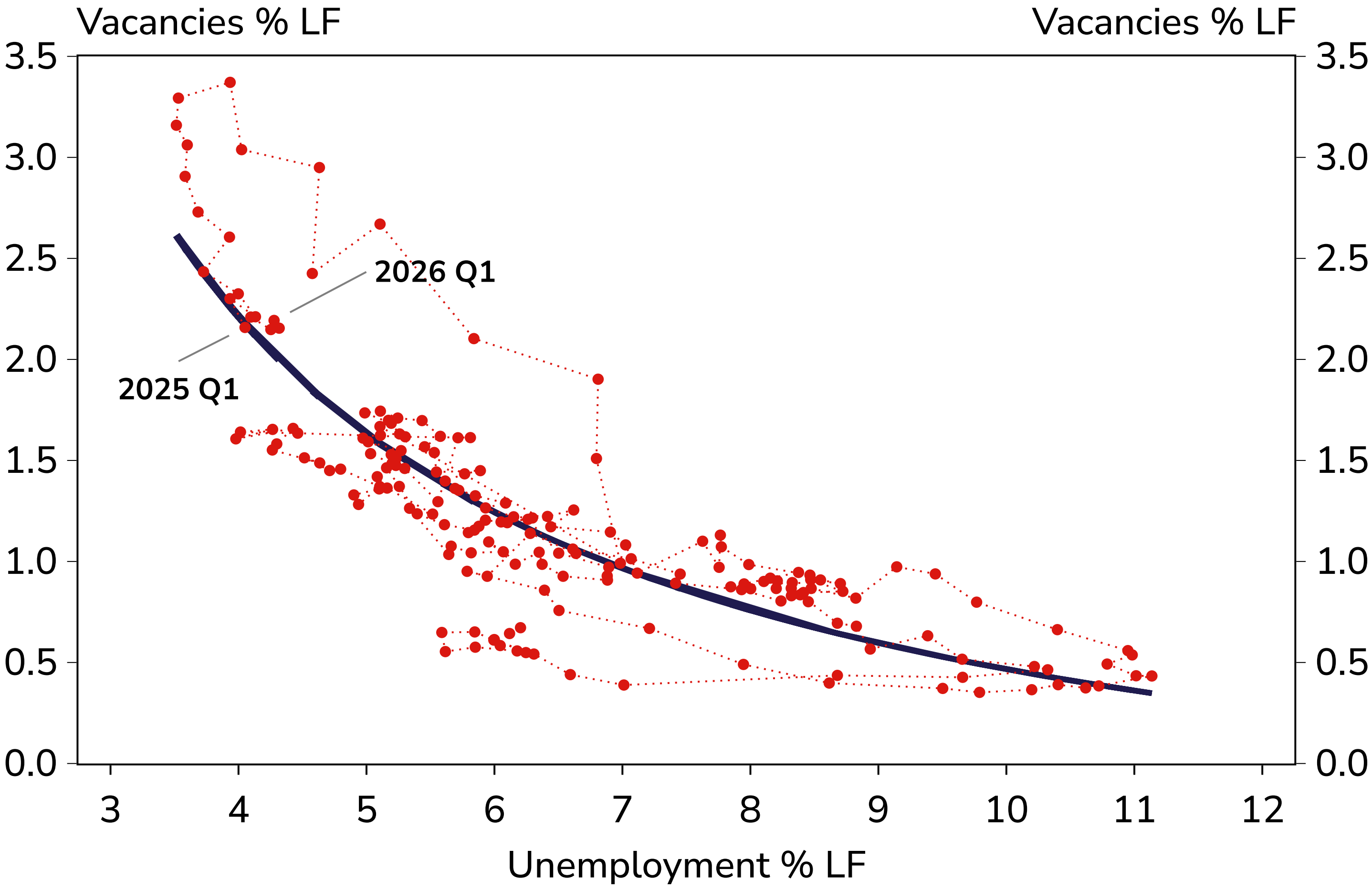


Source: ABS, Macrobond, Westpac Economics

To place the current vacancy-to-unemployment dynamics in context, the Beveridge curve provides a useful reference point by mapping the typical relationship between the vacancy rate (vacancies as a proportion of the labour force) and the unemployment rate over time. Over 2022 to 2024, the labour market was sliding down the ‘steep part’ of the Beveridge curve, where large falls in vacancies (due to strong jobs growth) came without much of a lift in the unemployment rate.

In the latest quarter, the vacancy rate recorded a mild increase, as the rise in vacancies more than offset ongoing growth in the labour force. At the same time, a brief easing in the unemployment rate at the start of the year saw the labour market operating more-or-less around the Beveridge curve. This suggests that the relationship between vacancies and unemployment continues to behave broadly as expected.

Beveridge Curve



Source: ABS, Macrobond, Westpac Economics

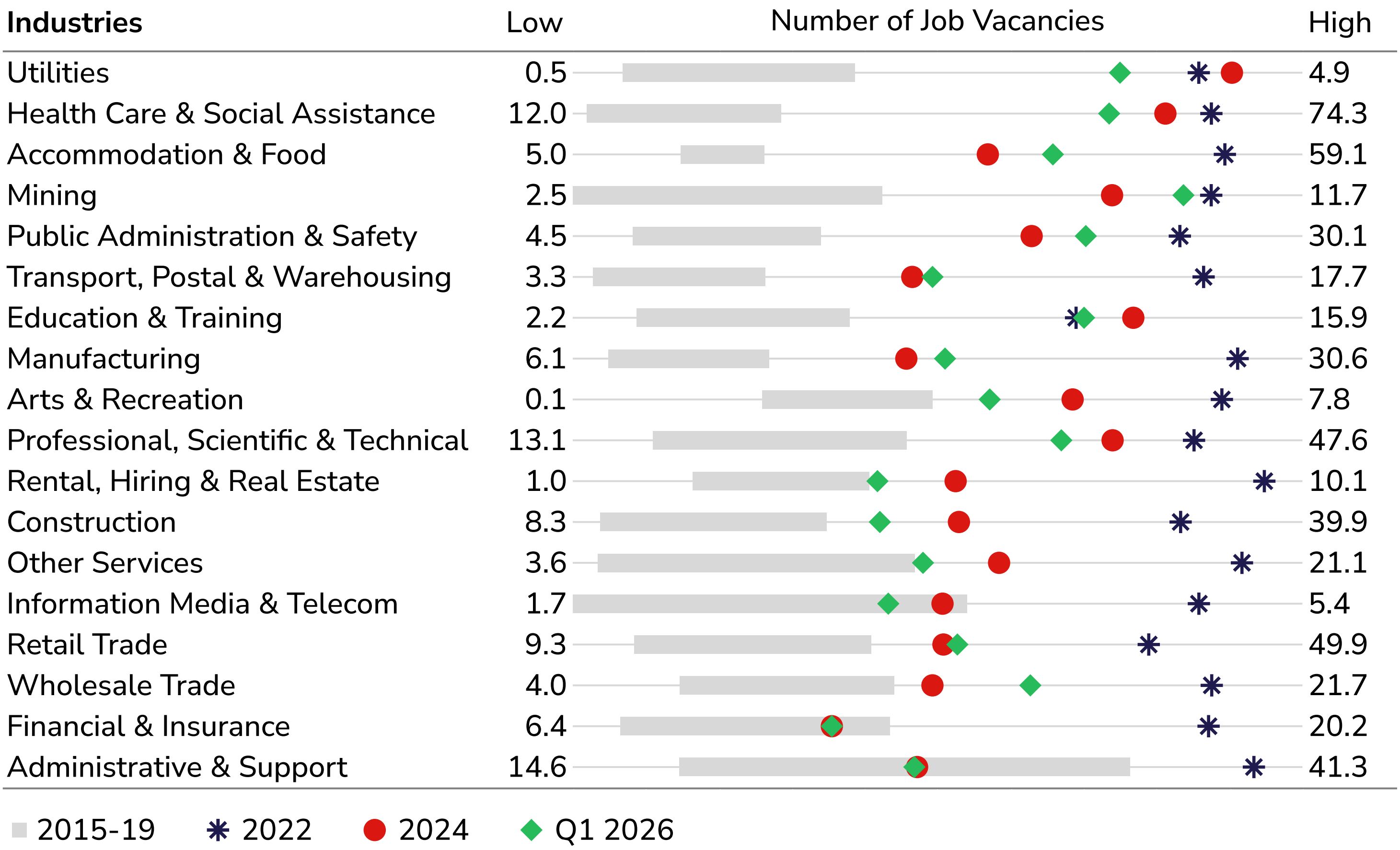
The start of 2026 saw a divergence in vacancy growth across sectors. Vacancies in the private sector (around 88% of the total) rose by 9.2k (3.2%) in Q1, while public sector vacancies (12% of the total) edged lower, falling by 0.2k (–0.5%).

All statistics mentioned below are not seasonally adjusted and hence may not add up to the seasonally adjusted statistics referenced above.

At the industry level, outcomes across private sector dominated industries were mixed. Construction recorded the largest increase in both level and percentage terms, with vacancies rising by 3.5k (19%). Retail trade vacancies increased by 2.9k (10%), consistent with firmer consumer conditions ahead of the escalation in Middle East conflict. Professional, scientific and technical services also posted solid gains, with vacancies up by 2.6k (7.7%). In contrast, administrative and support services was the weakest performing private sector industry, with vacancies declining by 1.6k (–5.6%).

The softness in public sector vacancies was broad based across industries with a significant public sector presence. Vacancies in public administration and safety declined by 0.7k (–3.0%), while health care and social assistance recorded the largest fall of any industry, down 1.8k (–3.0%). This aligns with our earlier observation that jobs growth in the ‘care economy’ has pulled back significantly after a monumental hiring effort over recent years.

Job Vacancies by Industry



Source: ABS, Macrobond, Westpac Economics

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